



## StratumCore

COST | PERFORMANCE | CAPABILITY

### CASE STUDY — CORPORATE OVERHEADS

# Cutting with the lights on

*How an Australian metals miner found \$15–20m a year in its overhead structure — without a single top-down percentage.*

**\$15–20m**

recurring annual saving identified

**31%**

of 300+ support roles, each with a tested rationale

**0**

top-down cuts. Every call scored, none decreed

# An overhead structure sized for a bigger operation

A mid-sized Australian underground metals operation, caught between a soft commodity price and a cost base that had grown through the good years. The office and support structure — engineering, technical services, planning, HR, supply chain, safety, the GM's own function — had been built for a larger footprint than the operation now ran.

The owner needed a step change in unit cost. The support structure had to contribute. And the standard play was on the table: hand every department a percentage and a deadline.

We've watched that play fail from both sides of it. The org chart gets cut where the salaries are visible, not where the work is — and the capability you shed comes back later as a contractor, at twice the day rate.

*“The goal was a leaner structure that could sustain and grow production — not one that simply had fewer people in it.”*

## The four patterns hiding in every overhead structure

- ▶ **Duplication nobody had mapped.** Two or more roles doing substantively the same job across crews, shifts and departments — and between site, group office and a sister operation.
- ▶ **Roles that exist because something else is broken.** Coordinator positions built as permanent workarounds for systems and interfaces that were never fixed.
- ▶ **Layers with no decision rights.** Supervisory roles with two or three reports, justified by tenure and convention rather than by any decision only they could make.
- ▶ **Crews sized beyond the fleet.** Headcount the equipment fleet and shift pattern could not physically absorb — invisible in the org chart, obvious against operating hours.

None of this shows up in a budget review. All of it shows up the moment you score roles one at a time against what the operation actually needs.

# The seven-question test

Every support role got two passes: first whether it earns its place, then how big it should be. Pass one asks seven questions of the *chair*, *not the person*:

- 1 What decisions does this role actually make?
- 2 If it disappeared for a month, what would break?
- 3 Who else is doing a version of this role?
- 4 Does it only exist because something else is broken?
- 5 Does it carry a defensible span of control?
- 6 Would we rather have this role — or another operator at the face?
- 7 Can proven technology already do it?

The score out of 14 drives the call — no opinions, no favourites:

|               |                  |                    |            |
|---------------|------------------|--------------------|------------|
| 12–14<br>Keep | 8–11<br>Re-scope | 4–7<br>Consolidate | 0–3<br>Cut |
|---------------|------------------|--------------------|------------|

*Roles that survive get a second pass on sizing — workload, coverage, span, specialisation, benchmark — before anyone talks numbers.*

## THE RESULT

# What six weeks of scoring bought

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**\$15–20m** recurring annual saving at current prices — rising to \$20–26m in a sustained downcycle

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**97 roles** 31% of the 300+ in scope — each carrying a scored, tested rationale, not a quota

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**6 weeks** of leadership scoring and calibration; execution inside one quarter

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**0 frontline** production roles untouched — capability preserved where the tonnes are made

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- 1 Score the chair, not the person** — calibration sessions kept scoring honest.
- 2 Fix the structure before counting heads** — blurred accountabilities got redesigned first.
- 3 Sponsor enforcement** — re-scoped roles drift back to the status quo without it.

## Want the working toolkit?

The scoring engine behind this review — the twelve questions, the bands, the savings maths — is a working Excel file. Reply to the email that brought you this case study with the word **toolkit** and I'll send it to you personally.

Or book a 30-minute cost scan — we'll find at least one cost leak, or you've lost half an hour.

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